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Continue To Proceed With Caution

YARDENI QUICKTAKES

Continue To Proceed With Caution

By Ed Yardeni & Elias Griepentrog • 14 Oct 2026

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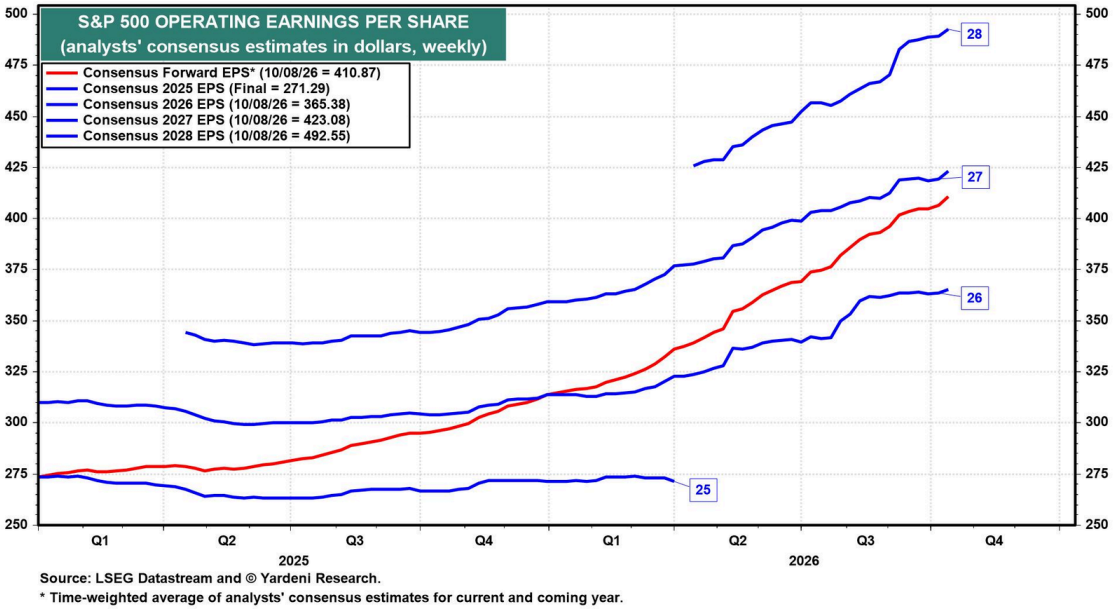


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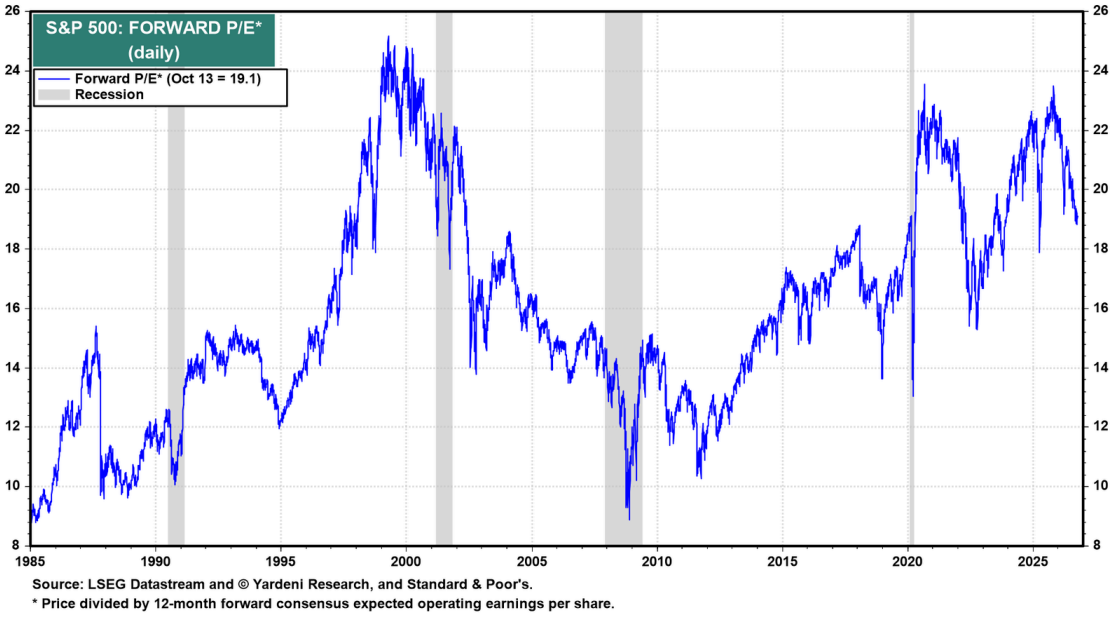
I. Risk Off Is Back

On September 15, we advised our readers to "Proceed With Caution." We postponed our year-end S&P 500 target of 8,400 to mid-2027. Our concern isn't earnings; it's stock valuations.

We remain bullish on the economy and earnings, expecting no recession through the end of the decade in 2029. Accordingly, we haven't lowered our 2027 S&P 500 earnings forecast of $425 per share, which is only slightly above the industry analysts' current consensus of $423.08 (chart).

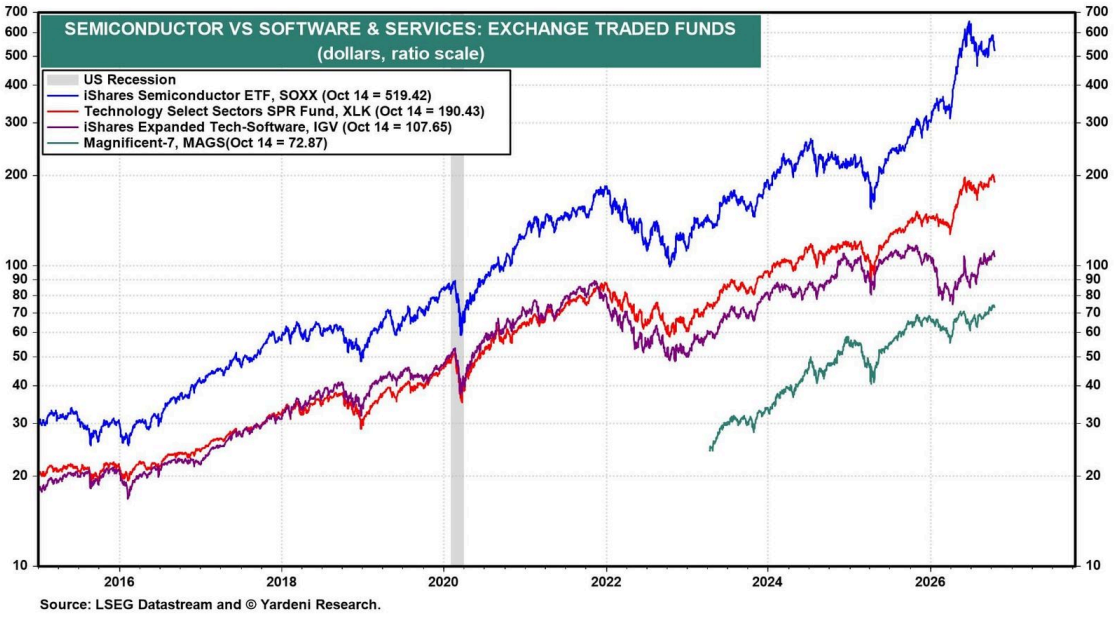


Instead, we lowered our year-end forward P/E forecast from 19.8 to 18.6; that's what reduced our year-end S&P 500 target to 7,900. So far, our caution has been warranted. The S&P 500's forward P/E has been moving toward our targeted valuation multiple (chart).

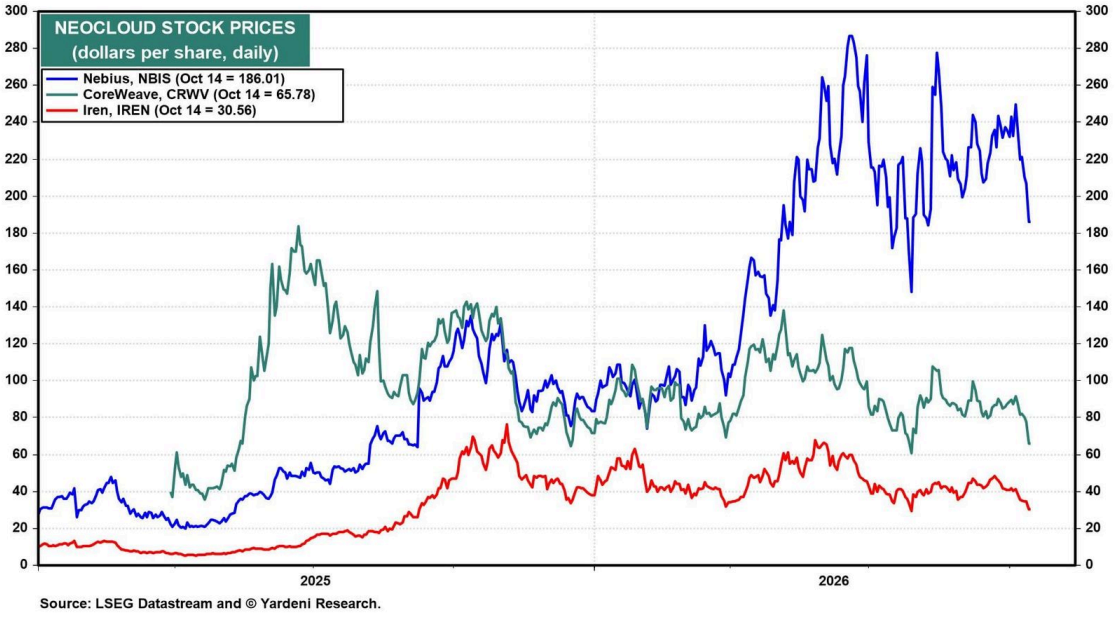


Risk-off sentiment was on full display in the stock market today for most of the reasons we flagged in mid-September. The S&P 500 fell 1.1% to 7,718.94, while the Nasdaq Composite and Russell 2000 both dropped 1.9%. Selling pressure was particularly pronounced among technology

stocks, with the SOXX tumbling 4.5% (chart). Interestingly, IGV fell 3.0%, while MAGS was down only 1.9%.

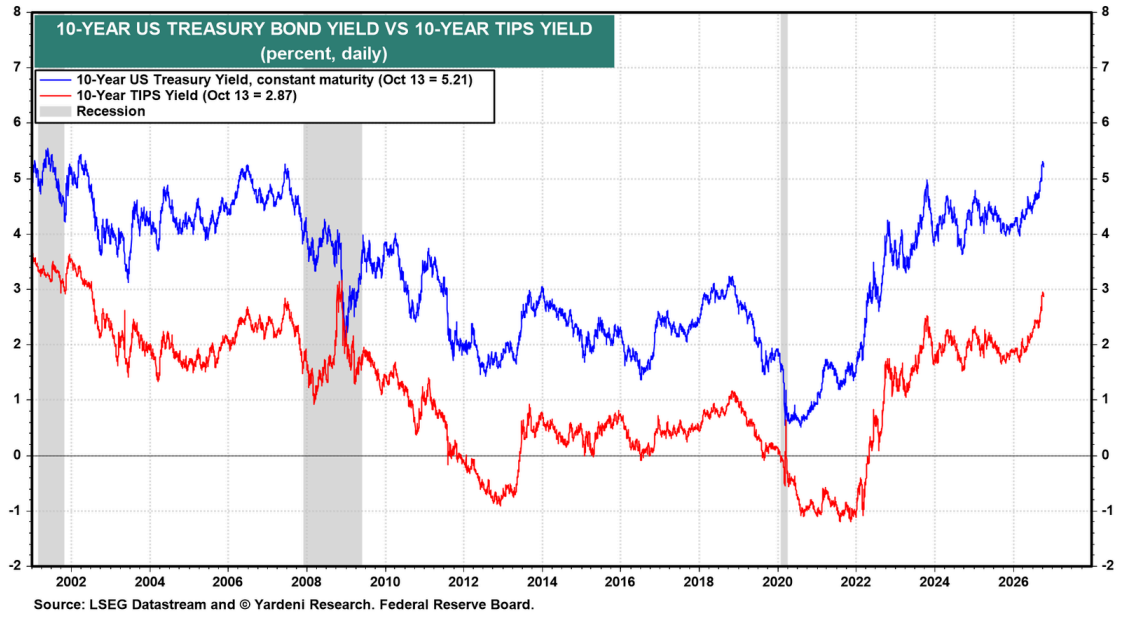


The AI trade is getting sloppy amid intensifying competition and doubts about returns on massive AI investments. Shares of heavily indebted neocloud provider CoreWeave plunged 16% today amid growing concerns about its ability to service its debt (chart). Furthermore, today's CPI was hotter than expected, raising the odds of two Fed rate hikes over the rest of this year. A cargo ship sank in the Strait of Hormuz after hitting an Iranian mine.



Meanwhile, the risk-off sentiment we anticipated may be helping Treasuries find their footing. On Saturday, we suggested that the 10-year Treasury yield might stabilize around 5.25%. So far, that call is holding up

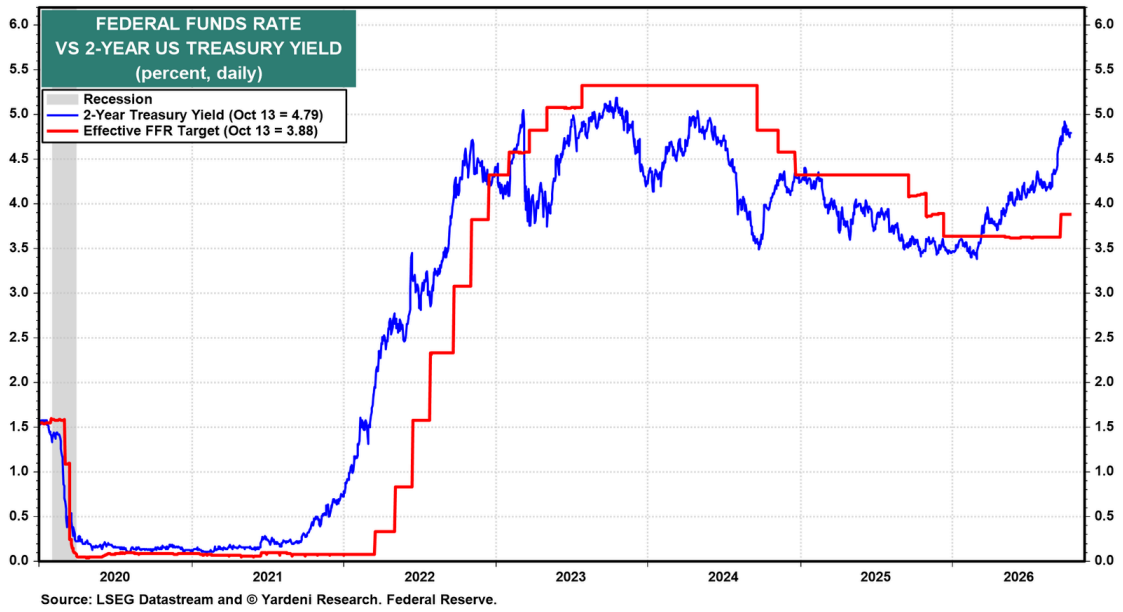
despite mounting fears of further Fed tightening today (chart). That's partly because Treasuries offer attractive real returns, with the 10-year TIPS yielding around 2.90% (chart).



Our worry list remains long, including more partisanship after the midterm elections and a re-escalation of the war in the Middle East. We expect risk-off sentiment to persist, further compressing valuation multiples. That's why we still recommend proceeding with caution. On the other hand, buying opportunities are increasing, and Santa could still deliver a year-end rally up to 7,900.

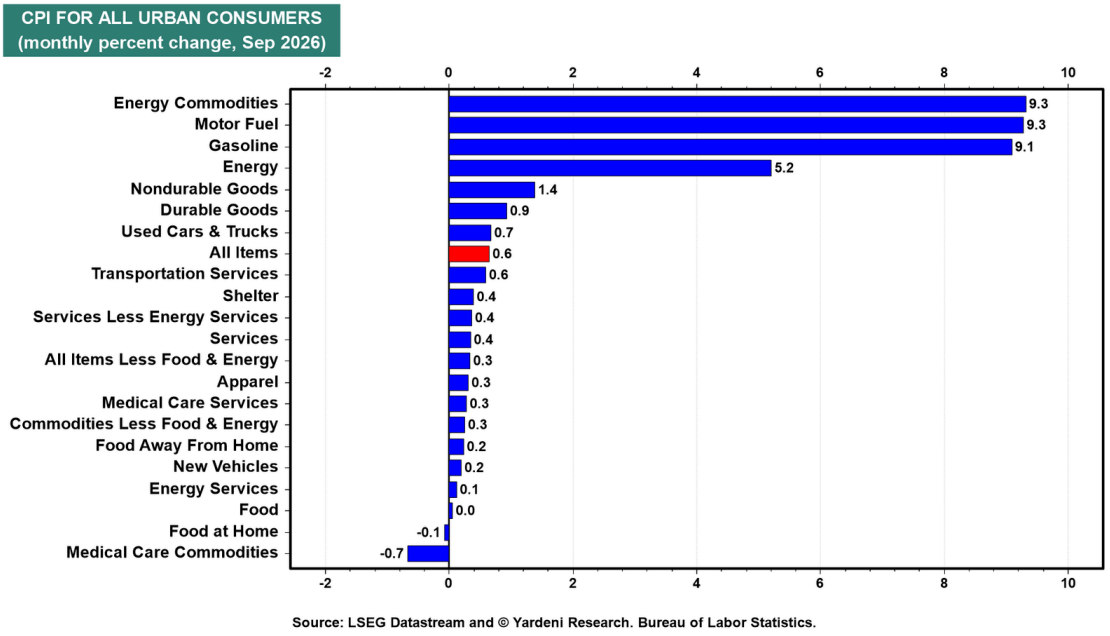
II. Inflation Is Back Too

Today's September CPI report fueled bets on further Fed tightening. The probability of an October rate hike jumped from 21% to 36%, briefly reaching 45%. Meanwhile, the 2-year Treasury yield surged as much as 13bps intraday before closing 3bps higher at 4.79%, roughly 95 bps above the midpoint of the federal funds target range (chart).



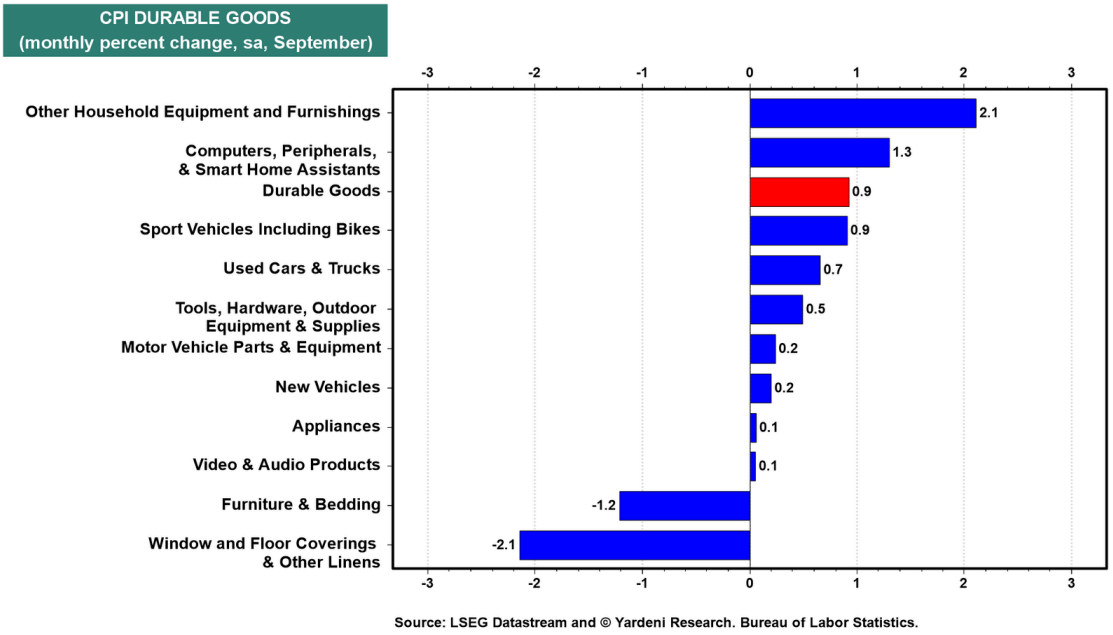
Here's more:

(1) CPI inflation (m/m). The headline CPI jumped 0.6% m/m in September, its biggest increase since March, led by a 9.3% surge in energy prices (chart). But inflationary pressures were broad-based, with the core CPI rising 0.3%, including gains of 0.3% in core goods and 0.4% in core services. Indeed, 52% of CPI categories recorded inflation above 3% y/y, with 70% above 2%.

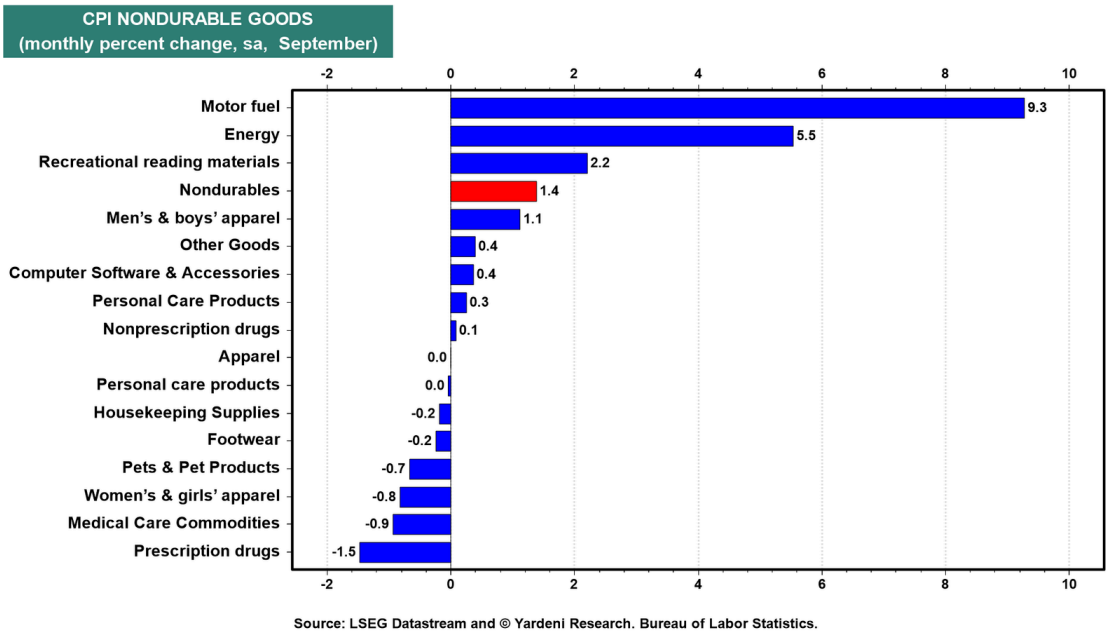


Durable goods prices jumped 0.9% m/m in September (chart). Notably, prices of computers, peripherals, and smart home assistants rose 1.3%, pushing this three-month moving average inflation rate to a record high. That reflects surging semiconductor prices driven by the AI investment

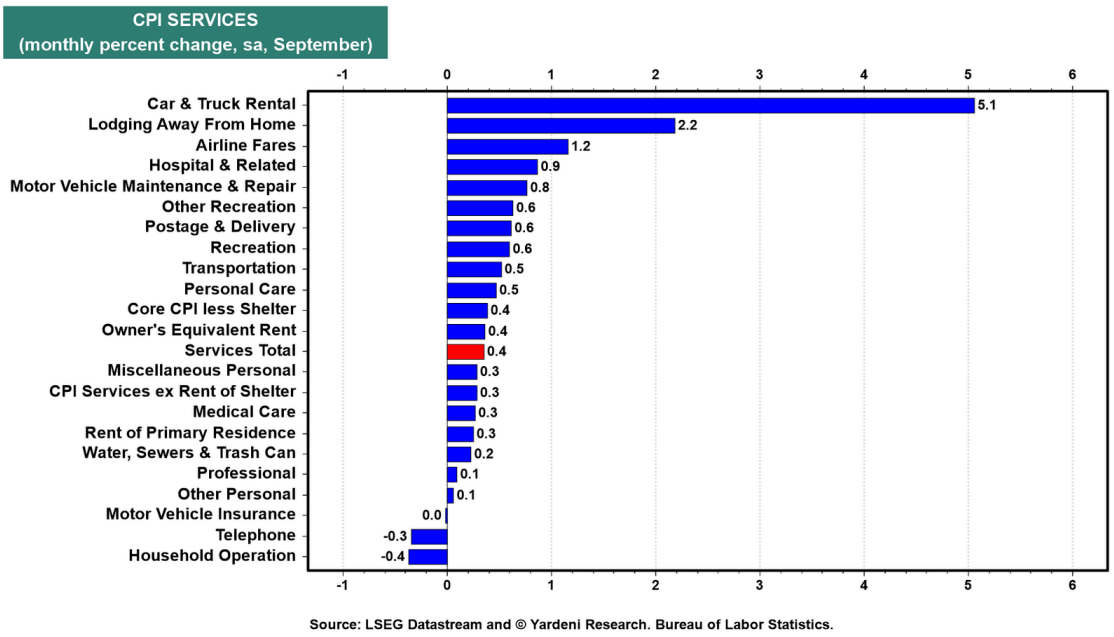
boom. Tariffs are also adding to inflation, with prices of other household equipment and furnishings jumping 2.1% m/m.



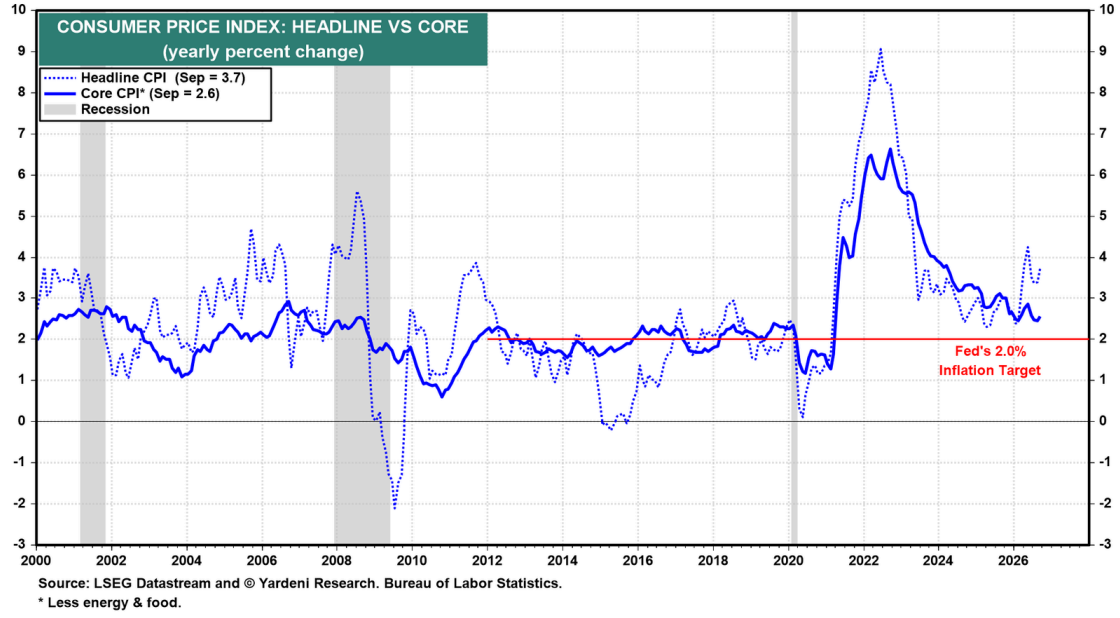
Nondurable goods prices jumped 1.4% m/m in September, led by a 9.3% surge in motor fuel prices (chart).



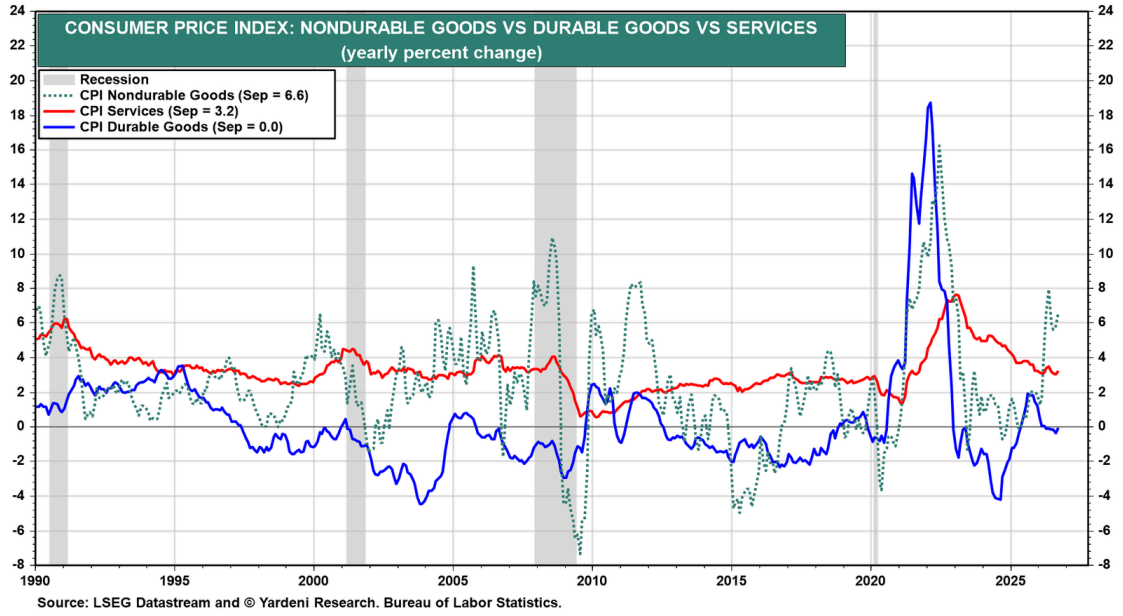
The services sector also showed broad-based inflationary pressures, with prices rising 0.4% m/m (chart). Higher energy costs are passing through to transportation and travel services, while robust aggregate demand is sustaining pricing power.



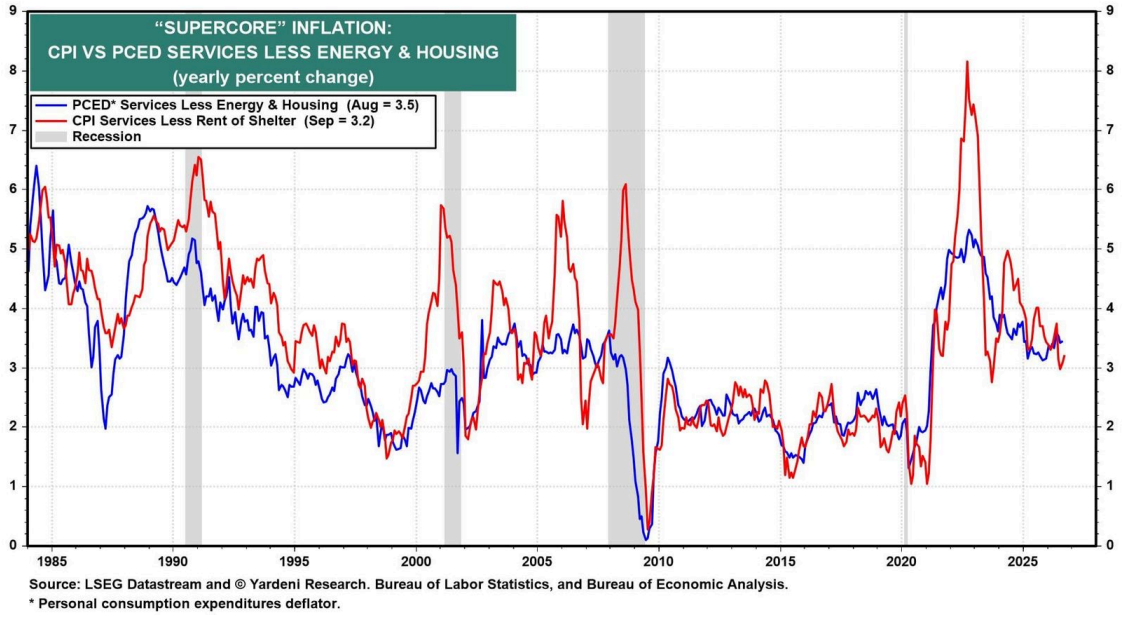
(2) CPI inflation (y/y). Both headline and core inflation accelerated on a y/y basis in September, marking the 67th consecutive month that inflation has remained above the Fed's 2% target (chart).



Both goods and services inflation rose in September (chart). With durable goods deflation unlikely to return soon, services inflation must fall more to bring inflation back to target. However, services inflation remains stubbornly elevated.



Supercore CPI inflation rose to 3.2% y/y in September, underscoring the persistence of underlying price pressures (chart).



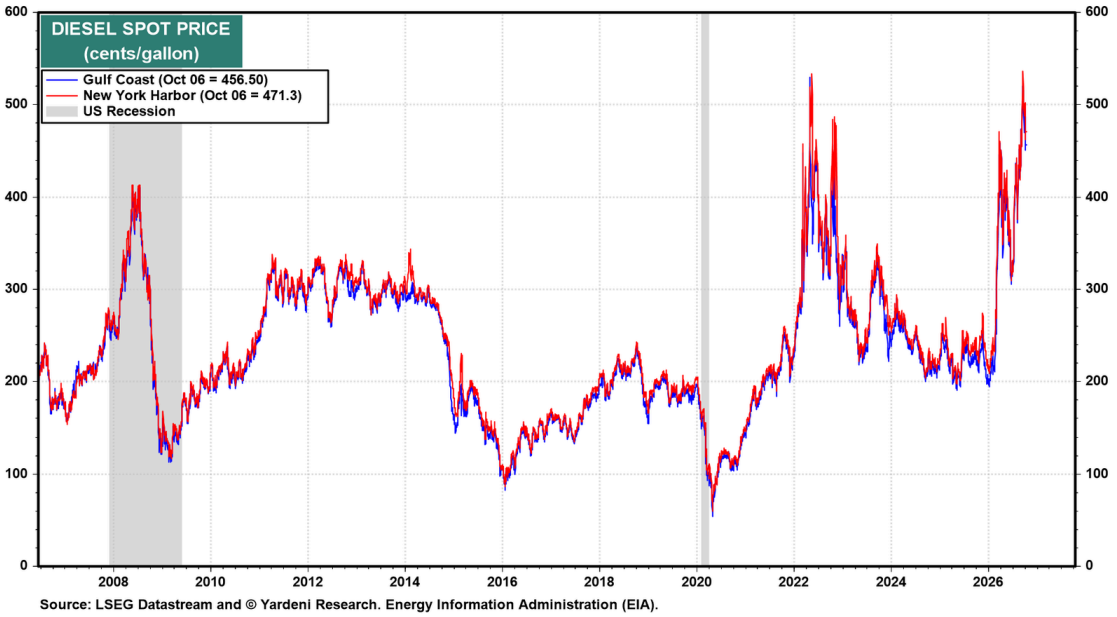
III. The Fed's Beige Book

The Fed's October Beige Book, which summarizes economic conditions across the 12 Federal Reserve districts, reinforced the September CPI report's message that inflation remains troublesome.

Half the districts reported robust or accelerating price pressures, compared with broadly stable inflation in September. Four districts reported accelerating inflation, while three characterized price growth as robust, up from one previously. Higher energy costs, tariffs, and insurance premiums were the main drivers, with diesel costs passing through via

freight surcharges (chart). Expiring hedges and contract renewals threaten further increases.

Meanwhile, economic activity remains robust, supported by strong manufacturing demand from AI data centers, defense, and energy.



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